

U.S. Semiconductors

NXP Semiconductors NV

Rating

Market-Perform

Price Target



290.00 USD (270.00 OLD)



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NXP Semiconductors (NXPI): Q226 recap - Do you like cheap dates?

NXPI's Q226 results were good, a touch above on revenue and EPS with gross margin inline (\$3,496M/58.0%/\$3.61 vs Street \$3,463M/58.0%/\$3.54). All segments were above expectations, with Comms and Industrial/IoT driving most of the beat, with Mobile and Auto slightly above consensus. Channel inventory was stable sequentially at ~11 weeks.

Guidance was solid as well, a touch above the Street on revenue and EPS and inline to just a hair below on gross margin (\$3,750M/58.5%/\$4.11 vs Street \$3,706M/58.6%/\$4.01). Comms is seen above expectations, with Industrial/IoT inline to a touch above, Auto roughly inline, and Mobile a touch below. Management continues to see strong demand signals (improved vs 90 days ago) with strength in both core businesses as well as company specific growth drivers across their segments.

Once again the print was pretty clean, and (while perhaps not quite as robust as some recent peer reports) company execution remains very solid, with the analog recovery across industrial and, increasingly, automotive continuing. We admit to being a bit torn on the shares. On the one hand, NXPI has a bit more idiosyncratic (internally-driven) growth drivers in the more traditional analog spaces, possible margin upside (in a few years at least), and cheaper valuation vs most peers which makes it increasingly attractive amid the current sector sell-off; on the other hand though we remain a bit unsure of the automotive upside given clear signs of weakness in the end market (especially in China) and the company has less of a datacenter story (~\$500m, ~3% of revenue) vs many peers.

On balance though numbers should be going up a bit at least, and the stock is growing cheap enough to perhaps start attracting more attention. We raise estimates, and roll valuation horizon forward from FY27 to avg FY27/28; we take our PT to \$290 (16x, unchanged, on new FY27/28 EPS of \$18.63). We rate NXPI Market-Perform.

Investment Implications

NXPI (MP, \$290): The pace and makeup of recovery remains open for debate, though company execution is solid and valuation is increasingly inexpensive.

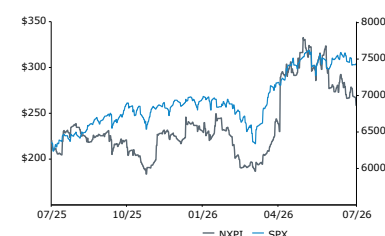
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
NXPI (USD)	11.81	15.02	16.85	EBIT (M)	2,952	5,037	5,046	--	Adjusted P/E (x)	21.9	17.2	15.4
OLD	--	14.58	16.45	FCF (M)	2,425	3,632	4,208	--				
				Revenues (M)	12,269	14,229	15,687	--				

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	28 Jul 2026
NXPI Close Price (USD)	259.12
Price Target (USD)	290.00
Upside/(Downside)	12%
52-Week Range	339.95/183.00
SPX	7,428.78
FYE	Dec
Div Yield	1.6%
Market Cap (USD) (M)	65,420
EV (USD) (M)	73,783
Performance	YTD 1M 6M 12M
Absolute (%)	19.4 (6.5) 8.0 13.4
SPX (%)	8.5 1.0 6.5 16.3
Relative (%)	10.9 (7.5) 1.5 (2.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Please click here for our most recent NXPI model: [model](#)

NXPI's Q226 results were good, a touch above on revenue and EPS with gross margin inline (\$3,496M/58.0%/\$3.61 vs Street \$3,463M/58.0%/\$3.54). On a segment level, all segments were above expectations, with Comms and Industrial/IoT driving most of the beat, with Mobile and Auto slightly above consensus. Channel inventory was stable sequentially remaining at ~11 weeks (as expected), and on-book inventory dollars rose QoQ with days declining.

- **NXPI's Q2 sales** were \$3,496M, above consensus at \$3,463M and guidance of \$3,450M (**Exhibit 1**).
- **PF Gross Margin** of 58.0% was inline with consensus (58.0%) and guidance (58.0%) (**Exhibit 2**).
- **PF Operating Margin** of 35.1% was above consensus (34.7%) (**Exhibit 3**).
- **PF Opex** of \$800M was slightly below consensus (\$808M) (**Exhibit 4**).
- **Share count** was ~254M, higher than consensus (252M).
- **Pro-forma EPS** was \$3.61, above consensus at \$3.54 and guidance at \$3.50 (**Exhibit 1**).
- **By segment**, Auto was \$1,938M, slightly above Bloomberg consensus at \$1,933M. Industrial/IoT came in at \$755M, above consensus at \$744M. Mobile was \$351M, slightly above Bloomberg consensus at \$346M. Communication Infrastructure / Other was \$452M, above Bloomberg consensus at \$437M (**Exhibit 5, Exhibit 6**).
- **Inventories on the balance sheet** rose ~1% sequentially on a dollar basis to \$2,557, up \$34M vs Q1 at \$2,523M, with days falling by 9 to 156 days vs 165 last quarter (**Exhibit 7**).
- **Distribution channel inventory** was stable at ~11 weeks (as expected) and sits at their long-term target (**Exhibit 8**).
- **Sales through distribution** rose slightly QoQ to 59.3% of total revenues (**Exhibit 9**).
- **China revenue exposure (by HQ location)** rose sequentially to 18% of sales from 15% in Q1, with the Americas down from 30% to 28%. APAC mix was flat at 28% and EMEA declined slightly from 27% to 26% (**Exhibit 10**).
- **Net Leverage** was down slightly to ~1.5x, below the company's target of 2.0x (**Exhibit 11**).
- **The company repurchased \$104M in shares in the quarter**, and have bought back another \$32M after the end of Q2 as of July 24th.

Guidance was solid as well, a touch above the Street on revenue and EPS and inline to just a hair below on gross margin (\$3,750M/58.5%/\$4.11 vs Street \$3,706M/58.6%/\$4.01). Comms is seen above expectations, with Industrial/IoT inline to a touch above, Auto roughly inline, and Mobile a touch below. Management continues to see strong demand signals (improved vs 90 days ago) with strength in both core businesses as well as company specific growth drivers across their segments.

- Q326 Revenues were guided to \$3,750M at the midpoint, a touch above consensus at \$3,706M (**Exhibit 12**), and inline to a touch above pre-COVID seasonality (**Exhibit 13**).
- **Automotive is seen up MSD QoQ and up LDD YoY**, in-line with consensus expectations. Adjusting for the sale of the MEMS sensor business, Auto is guided up high-teens YoY. Management indicated that accelerated growth drivers within automotive grew 22% YoY in Q2, representing ~47% of the auto business, consistent with their prior comments on anticipating it reaching ~50% in 2026 (**Exhibit 14**).
- **Industrial/IoT is guided up MSD QoQ and up high-30s % YoY**, inline to a bit above consensus on both core industrial and strength from their accelerated growth drivers (~36% of Industrial/IoT and grew ~40% YoY in Q2)
- **Mobile is seen up mid-teens % QoQ and down MSD% YoY**, below consensus expectations as memory dynamics take a bite out of the market.

- **Comm Infrastructure and other was guided up HSD % QoQ and up ~50% YoY**, meaningfully above consensus expectations.
- **The 3Q guide assumes channel inventory remaining flat at 11 weeks** (i.e. remaining at target levels).
- **Gross margins were guided to 58.5%**, inline to just a hair below the Street (58.6%), and up ~50bps QoQ given higher revenue levels and continued utilization improvements. Management reiterated their plan to bring utilization to mid-80s with a gross margin framework leading to ~100 bps of improvement for every incremental ~\$1B of revenue. Over the longer-term, management believes gross margin should trend upwards and particularly into 2028 as VSMC comes online, adding an incremental ~200bps as it ramps into production.
- **PF Opex was guided to ~\$813M**, below consensus at ~\$825M.
- **Interest expense was guided to ~\$85M**, above consensus at (\$81M).
- **Share count was guided to ~254M**; tax rate to ~18.0%, non-controlling interest to ~\$15M, and equity contribution from investees at ~\$5M. SBC is expected to come in at \$115M and capex is expected at ~3% of revenue.
- **PF EPS was guided to \$4.11**, above Street at \$4.01 (**Exhibit 12**).

Once again the print was pretty clean, and (while perhaps not quite as robust as some recent peer reports) company execution remains very solid, with the analog recovery across industrial and, increasingly, automotive continuing. We admit to being a bit torn on the shares. On the one hand, NXPI has a bit more idiosyncratic (internally-driven) growth drivers in the more traditional analog spaces, possible margin upside (in a few years at least), and cheaper valuation vs most peers which makes it increasingly attractive amid the current sector sell-off; on the other hand though we remain a bit unsure of the automotive upside given clear signs of weakness in the end market (especially in China) and the company has less of a datacenter story (~\$500m, ~3% of revenue) vs many peers. On balance though numbers should be going up a bit at least, and the stock is growing cheap enough to perhaps start attracting more attention.

- Once again the print was pretty clean, and while perhaps not quite as robust as some recent peer reports (TXN guided next quarter ~5% above Street estimates for example vs NXP at ~1%) company execution remains solid as the industry recovery across industrial and, increasingly, automotive continues.
- We admit to being a bit torn on the shares.
- On the one hand, NXPI has a bit more idiosyncratic (internally-driven) growth drivers in the more traditional analog spaces. They may have some gross margin upside (in a few years at least as new lower cost JV capacity ramps and new products enter the fold). And valuation is much cheaper vs most analog and mixed signal peers (**Exhibit 15**) which may make it increasingly attractive amid the current sector sell-off.
- On the other hand, we remain a bit unsure of the automotive upside given clear signs of weakness in the end market (especially in China where passenger vehicle retail volumes are running down 20% YoY; **Exhibit 16**). And the company has less of a datacenter story (~\$500M this year, ~3% of revenue) vs many peers.
- On balance though numbers should be going up a bit at least, and the stock is growing cheap enough to perhaps start attracting more attention.

Other Tidbits:

- NXPI's net debt was \$7.8B and TTM adj. EBITDA was ~\$5.1B, which resulted in Net Debt/EBITDA ratio of 1.5x (**Exhibit 11**).
- The company repurchased \$104M in shares and paid \$256M in dividends in the quarter.

We update our model, raising estimates, and roll our valuation horizon forward from FY27 to the average of FY27/28 as we are midway through the year. We take our price target to \$290 (16x, unchanged, on avg FY27/28 EPS of \$18.63). We maintain our Market-Perform rating.

- We update our model, and raise estimates, as well as roll our valuation horizon forward from FY27 to the average of FY27/FY28 as we are midway through the year.
- We raise our 2026 revenue estimate from \$14.0B to \$14.2B, 2027 from \$15.3B to \$15.7B, and FY2028 from \$16.6B to \$16.9B.
- We raise our 2026 non-GAAP EPS estimate from \$14.58 to \$15.02, 2027 from \$16.45 to \$16.85, and FY2028 from \$19.69 to \$20.41.
- We maintain our multiple at ~16x, and raise our target price to \$290 (~16x, unchanged, on the average of our FY27/FY28 non-GAAP EPS of ~\$18.63).
- We maintain our Market-Perform rating.

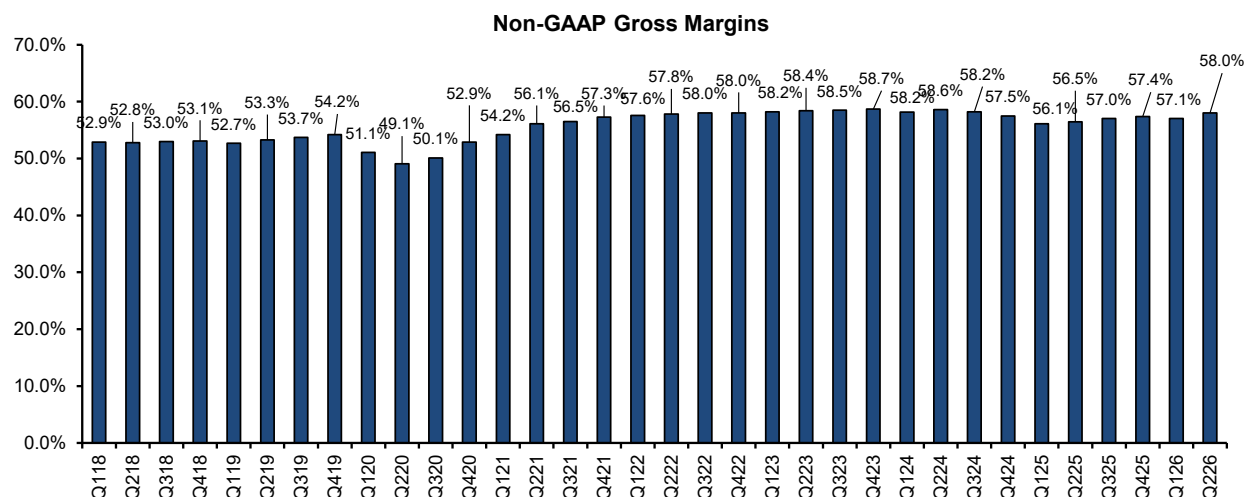
EXHIBIT 1: NXPI's Q2 results were above on revenue and EPS, and inline on gross margin

\$ in millions, ex EPS		Estimates		Delta	
Results	Actual	Street	Bernstein	Street	Bernstein
Sales	\$3,496	\$3,463	\$3,450	\$33.0	\$46.0
PF Gross Profit	\$2,028	\$2,010	\$2,001	\$17.8	\$27.0
PF GM %	58.0%	58.0%	58.0%		
PF EBIT	\$1,228	\$1,202	\$1,197	\$25.9	\$31.0
PF OPM %	35.1%	34.7%	34.7%		
EPS	\$3.61	\$3.54	\$3.50	\$0.07	\$0.11

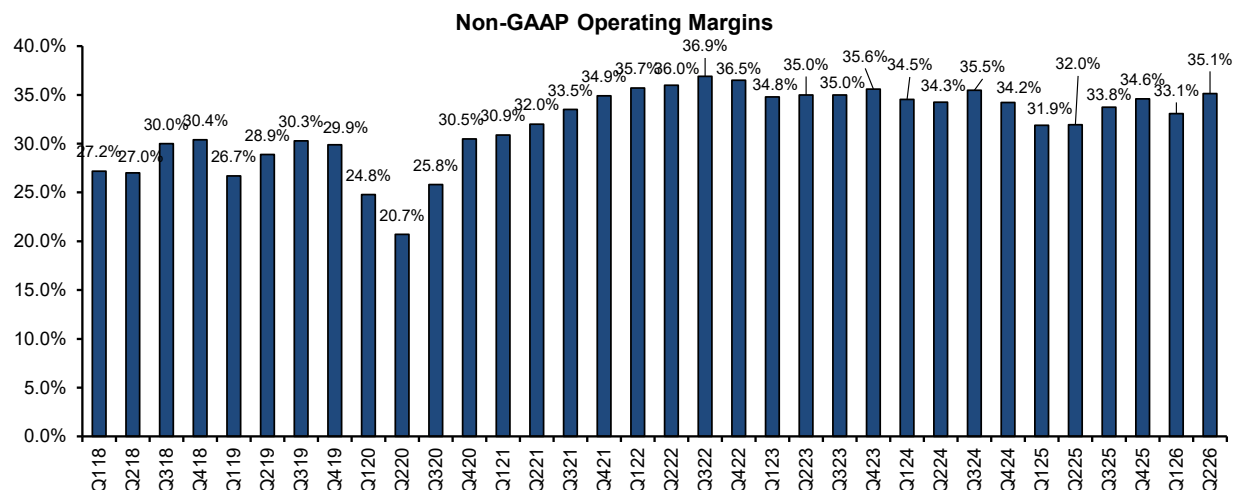
Bloomberg consensus as of 7/27/26

Source: Company reports, Bloomberg, Bernstein estimates and analysis

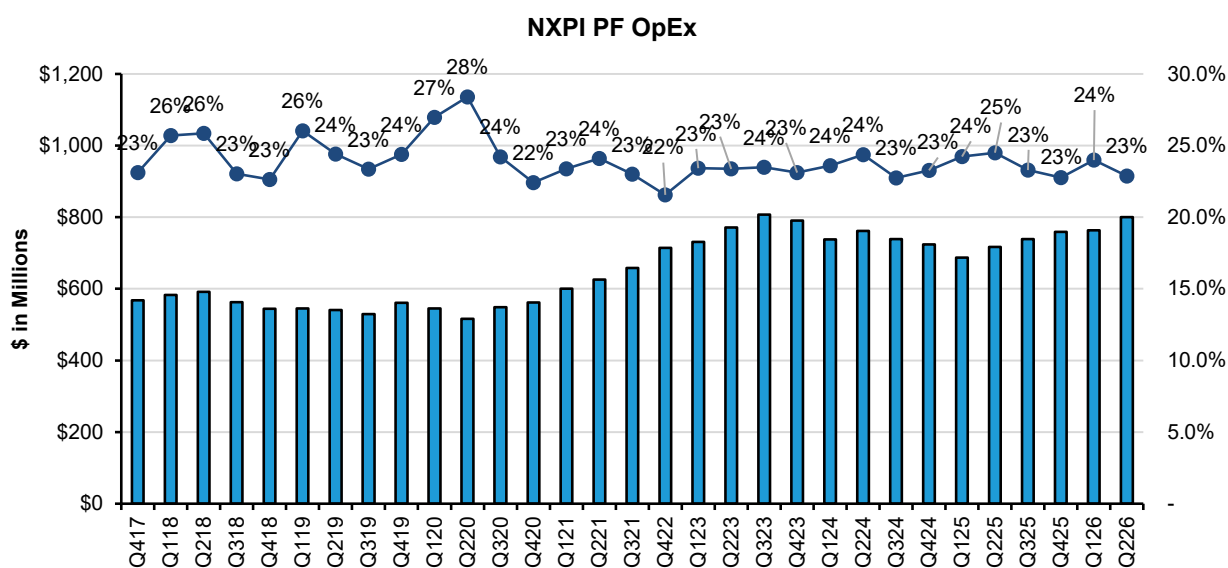
EXHIBIT 2: Gross margin rose ~90bps in the quarter to 58.0% and was inline with consensus



Source: Company reports, Bernstein analysis

EXHIBIT 3: **Operating margins rose ~200bps to 35.1% in the quarter, above consensus**

Source: Company reports, Bernstein analysis

EXHIBIT 4: **PF Opex rose sequentially, and was down YoY as a % of sales at ~23%**

Source: Company reports, Bernstein analysis

EXHIBIT 5: **Automotive and Mobile were a touch above consensus, with Industrial/IoT and Comms driving the beat on consensus**

Q2'26	Actual	Bernstein	Diff.	Consensus	Diff.
Automotive	\$1,938	\$1,925	\$13	\$1,933	\$5
Industrial/IoT	\$755	\$747	\$8	\$744	\$11
Mobile	\$351	\$344	\$7	\$346	\$5
Communication Infra & Other	\$452	\$434	\$18	\$437	\$15
Total	\$3,496	\$3,450	\$46	\$3,463	\$33

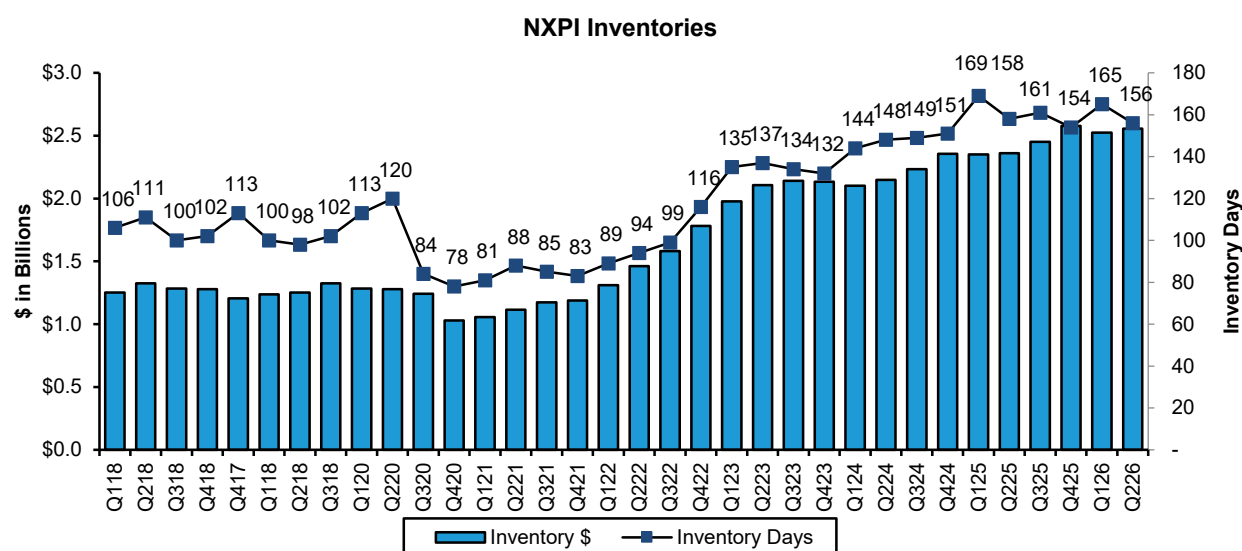
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 6: All segments except Mobile grew QoQ and YoY, while Mobile fell sequentially and grew YoY

Segment Revenue	Q122	Q222	Q322	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226
Automotive	\$1,557	\$1,713	\$1,804	\$1,805	\$1,828	\$1,866	\$1,891	\$1,899	\$1,804	\$1,728	\$1,829	\$1,790	\$1,674	\$1,729	\$1,837	\$1,876	\$1,782	\$1,938
QoQ Growth	0.6%	10.0%	5.3%	0.1%	1.3%	2.1%	1.3%	0.4%	(5.0%)	(4.2%)	5.8%	(2.1%)	(6.5%)	3.3%	6.2%	2.1%	(5.0%)	8.8%
YoY Growth	26.7%	35.7%	24.0%	16.7%	17.4%	8.9%	4.8%	5.2%	(1.3%)	(7.4%)	(3.3%)	(5.7%)	(7.2%)	0.1%	0.4%	4.8%	6.5%	12.1%
Industrial & IoT	\$682	\$713	\$713	\$605	\$504	\$578	\$607	\$662	\$574	\$616	\$563	\$516	\$508	\$546	\$579	\$640	\$628	\$755
QoQ Growth	3.2%	4.5%	-	(15.1%)	(16.7%)	14.7%	5.0%	9.1%	(13.3%)	7.3%	(8.6%)	(8.3%)	(1.6%)	7.5%	6.0%	10.5%	(1.9%)	20.2%
YoY Growth	19.4%	24.9%	17.5%	(8.5%)	(26.1%)	(18.9%)	(14.9%)	9.4%	13.9%	6.6%	(7.2%)	(22.1%)	(11.5%)	(11.4%)	2.8%	24.0%	23.6%	38.3%
Mobile	\$401	\$388	\$410	\$408	\$260	\$284	\$377	\$406	\$349	\$345	\$407	\$396	\$338	\$331	\$430	\$485	\$391	\$351
QoQ Growth	7.2%	(3.2%)	5.7%	(0.5%)	(36.3%)	9.2%	32.7%	7.7%	(14.0%)	(1.1%)	18.0%	(2.7%)	(14.6%)	(2.1%)	29.9%	12.8%	(19.4%)	(10.2%)
YoY Growth	15.9%	11.8%	18.8%	9.1%	(35.2%)	(26.8%)	(8.0%)	(0.5%)	34.2%	21.5%	8.0%	(2.5%)	(3.2%)	(4.1%)	5.7%	22.5%	15.7%	6.0%
Communications Infra & Other	\$496	\$498	\$518	\$494	\$529	\$571	\$559	\$455	\$399	\$438	\$451	\$409	\$315	\$320	\$327	\$334	\$380	\$452
QoQ Growth	8.5%	0.4%	4.0%	(4.6%)	7.1%	7.9%	(2.1%)	(18.6%)	(12.3%)	9.8%	3.0%	(9.3%)	(23.0%)	1.6%	2.2%	2.1%	13.8%	18.9%
YoY Growth	17.8%	19.7%	14.1%	8.1%	6.7%	14.7%	7.9%	(7.9%)	(24.6%)	(23.3%)	(19.3%)	(10.1%)	(21.1%)	(26.9%)	(27.5%)	(18.3%)	20.6%	41.3%
Total NXP Revenue	\$3,136	\$3,312	\$3,445	\$3,312	\$3,121	\$3,299	\$3,434	\$3,422	\$3,126	\$3,127	\$3,260	\$3,111	\$2,835	\$2,926	\$3,173	\$3,335	\$3,181	\$3,496
QoQ Growth	Q122	Q222	Q322	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226
Total NXP revenue	3.2%	5.6%	4.0%	(3.9%)	(5.8%)	5.7%	4.1%	(0.3%)	(8.6%)	0.0%	3.9%	(4.3%)	(8.9%)	3.2%	8.4%	5.1%	(4.6%)	9.9%
YoY Growth	Q122	Q222	Q322	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226
Total NXP revenue	22.2%	27.6%	20.4%	9.0%	(0.6%)	(0.4%)	(0.3%)	3.3%	0.2%	(5.2%)	(5.4%)	(9.1%)	(9.3%)	(6.4%)	(2.4%)	7.2%	12.2%	19.5%

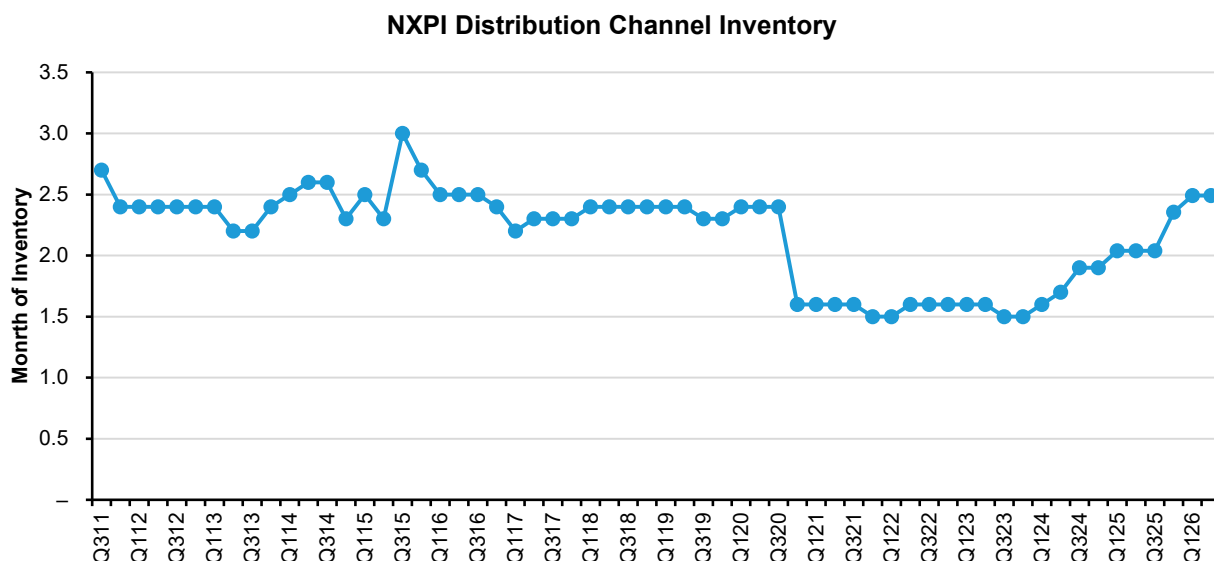
Source: Company reports, Bernstein analysis

EXHIBIT 7: NXPI's inventory days fell QoQ in Q2, remaining at very elevated levels, with inventory dollars up QoQ



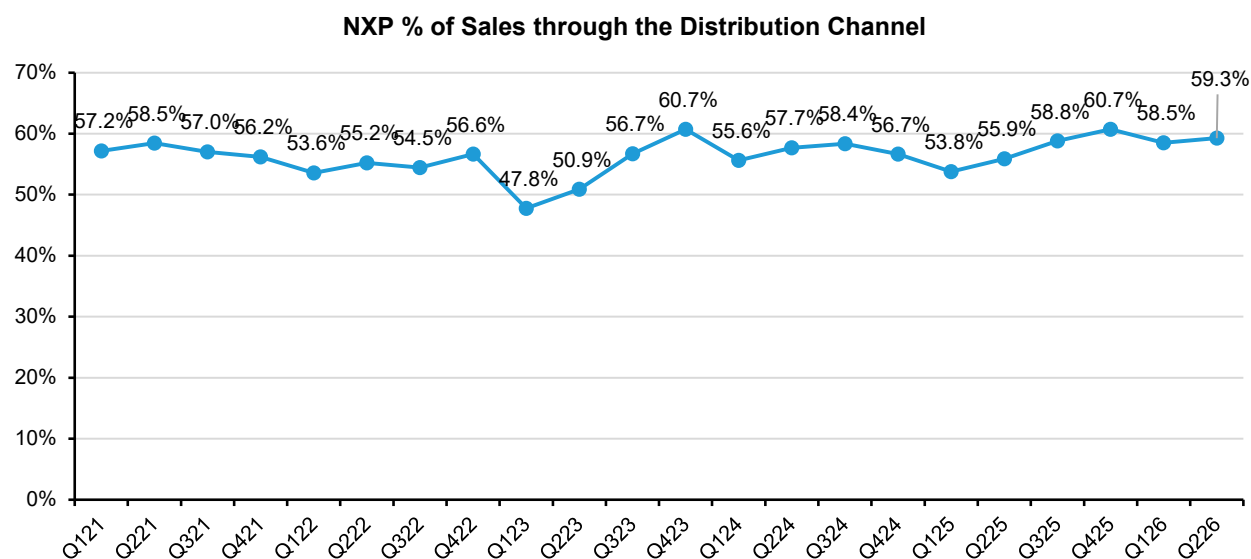
Source: Company reports, Bernstein analysis

EXHIBIT 8: **Channel inventory was stable vs. last quarter at ~11 weeks**

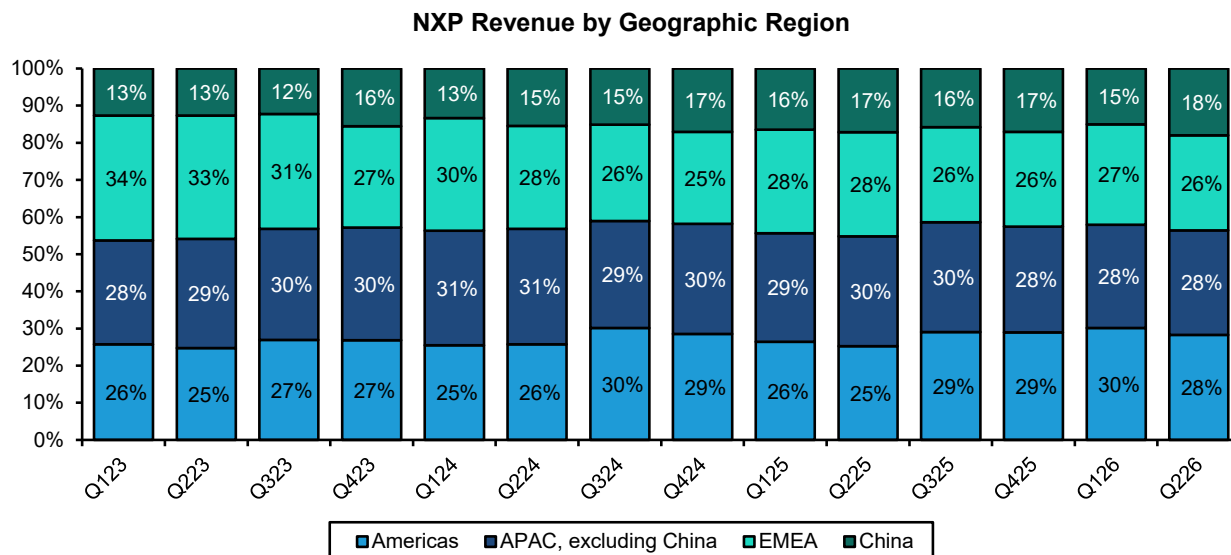


Source: Company reports, Bernstein analysis

EXHIBIT 9: **NXP sales through the distribution channel rose to 59.3% in the quarter**

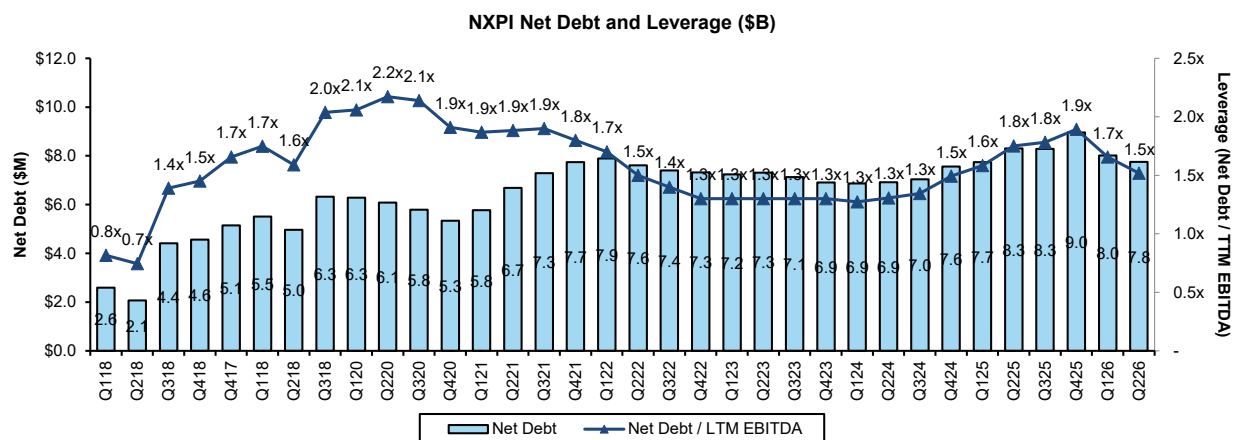


Source: Company reports, Bernstein analysis

EXHIBIT 10: **NXP China revenue mix rose to 18% while Americas declined to 28%**

As of December 31, 2025, and applied retrospectively for all the periods presented, the Company revised its methodology for attributing revenue to geographic areas to reflect the location where sales originate, which represents where critical commercial decisions are made.

Source: Company reports, Bernstein analysis

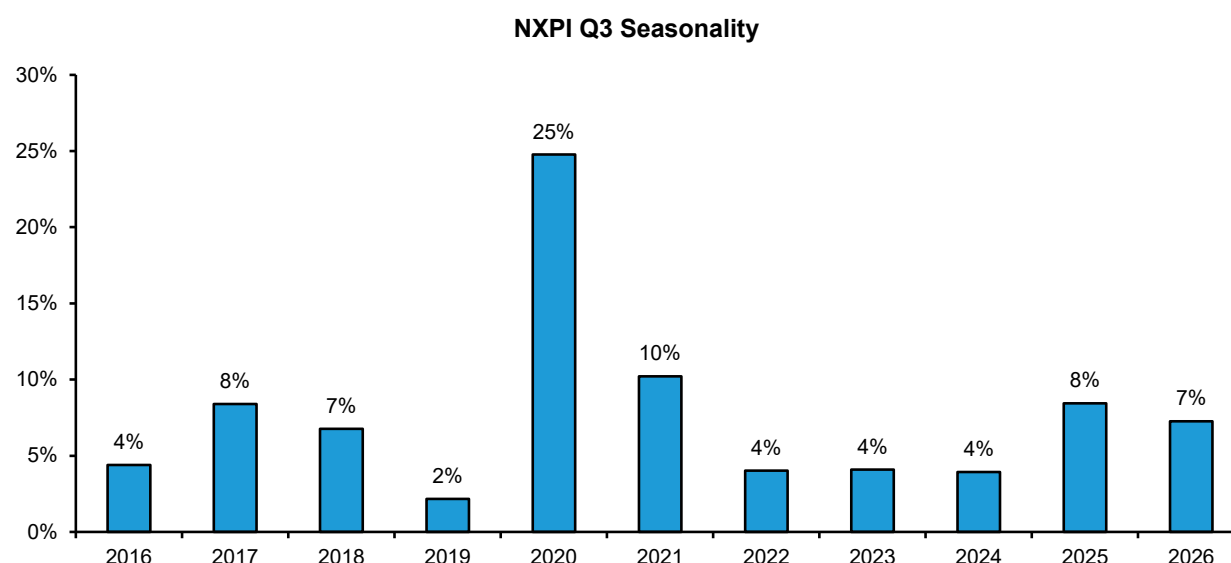
EXHIBIT 11: **NXP's net leverage was down sequentially to 1.5x as net debt also declined**

Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 12: **Q3 guidance was above the Street on revenue and EPS, while inline to a touch below on gross margin**

	Actual	Q226A		Variance			Q326E		Variance	
		Bernstein	Consensus	Bernstein	Consensus	Guide	Bernstein	Consensus	Bernstein	Consensus
Sales	\$3,496	\$3,450	\$3,463	\$46	\$33	\$3,750	\$3,683	\$3,706	\$67	\$44
PF Gross Profit	\$2,028	\$2,001	\$2,010	\$27	\$18	\$2,195	\$2,155	\$2,171	\$40	\$24
PF GM %	58.0%	58.0%	58.0%	0.0%	0.0%	58.5%	58.5%	58.6%	0.0%	-0.1%
OPEX	\$800	\$804	\$808	-\$4	-\$8	\$813	\$821	\$825	-\$8	-\$12
PF EBIT	\$1,228	\$1,197	\$1,202	\$31	\$26	\$1,382	\$1,333	\$1,346	\$49	\$36
PF OPM %	35.1%	34.7%	34.7%	0.4%	0.4%	36.9%	36.2%	36.3%	0.7%	0.5%
Net Interest Expense	\$87	\$92	\$90	-\$5	-\$3	\$85	\$85	\$81	\$0	\$4
PF EBT	\$1,141	\$1,105	\$1,112	\$36	\$29	\$1,297	\$1,248	\$1,266	\$49	\$31
TAX	\$205	\$199	\$207	\$6	-\$2	\$233	\$225	\$232	\$9	\$1
Tax R%	18.0%	18.0%	18.6%	0.0%	-0.6%	18.0%	18.0%	18.3%	0.0%	-0.3%
PF NI	\$936	\$906	\$906	\$30	\$30	\$1,064	\$1,024	\$1,034	\$40	\$30
NCI	\$18	\$18	\$14	\$0	\$4	\$20	\$20	\$13	\$0	\$7
Adj PF NI	\$918	\$888	\$891	\$30	\$27	\$1,044	\$1,004	\$1,020	\$40	\$23
DSO	254	254	252	0	2	254	253	254	1	0
EPS	\$3.61	\$3.50	\$3.54	\$0.11	\$0.08	\$4.11	\$3.97	\$4.01	\$0.14	\$0.09

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 13: **Q3 revenue guidance was inline to above pre-COVID seasonality**

Source: Company reports, Bernstein analysis

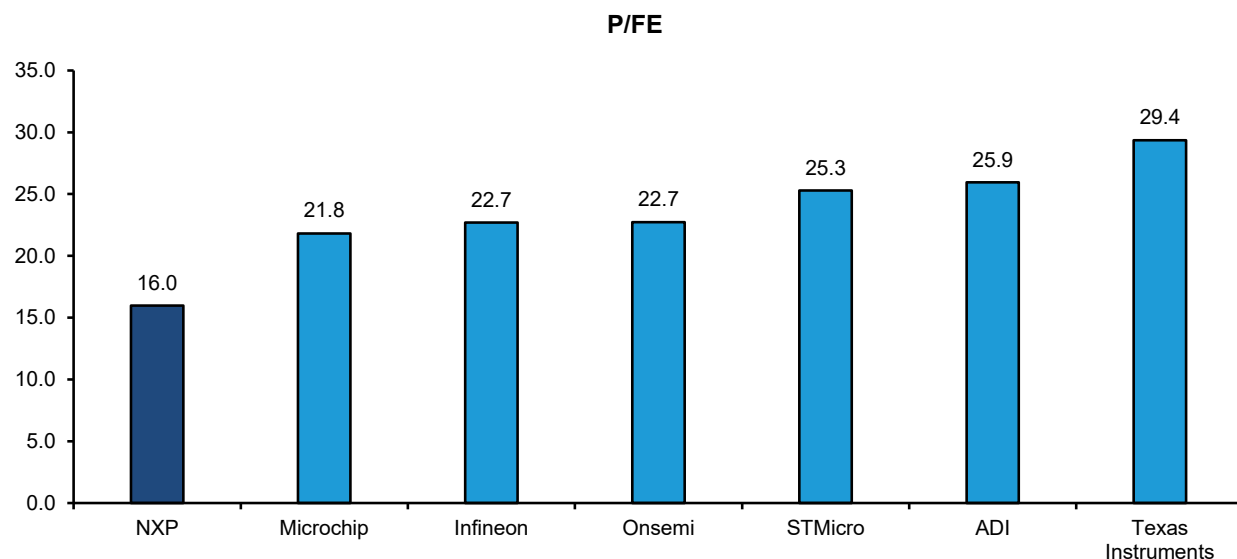
EXHIBIT 14: **Comms guidance is seen above expectations, with Industrial/IoT inline to a touch above, Auto roughly inline, and Mobile a touch below.**

Segment Sales	Results	Guide (QoQ)	Midpoint	Cons	Diff.	Bernstein	Diff.
Automotive	\$1,938	Up MSD %	\$2,054	\$2,054	\$0	\$2,011	\$43
Industrial & IoT	\$755	Up MSD %	\$800	\$791	\$9	\$803	-\$3
Mobile	\$351	Up Mid-teens %	\$404	\$411	-\$7	\$447	-\$44
Communication Infra & Other	\$452	Up HSD %	\$492	\$449	\$43	\$422	\$70
Total	\$3,496	Up ~7%	\$3,750	\$3,706	\$44	\$3,683	\$67

Consensus segment estimates do not necessarily add up to consensus total revenues given fewer available segment estimates

Source: Company reports, Bloomberg, Bernstein estimates and analysis

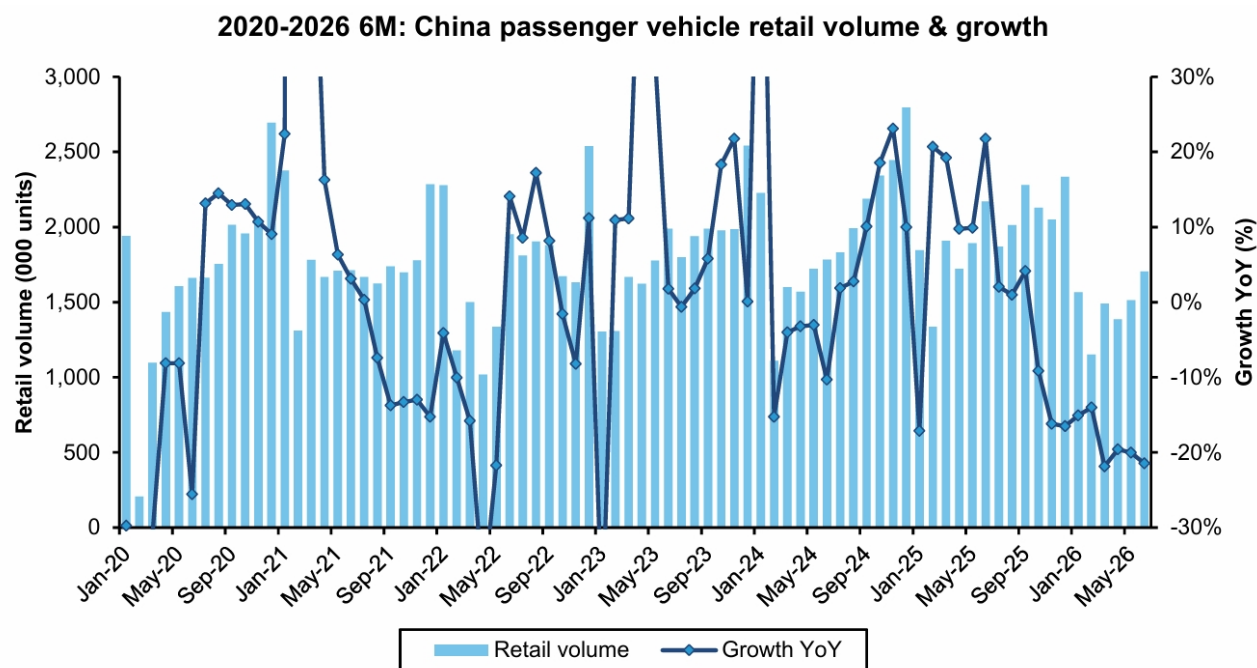
EXHIBIT 15: **NXPI valuation at least remains inexpensive vs peers**



Bloomberg data as of 7/28/2026

Source: Bloomberg, Bernstein analysis and estimate

EXHIBIT 16: **Chinese autos retail sales have weakened substantially in recent months**



Source: C.A.D, Bernstein analysis (data from Eunice Lee and Bernstein Asian Autos team)

EXHIBIT 17: Bernstein NXPI Income Statement

NXP Pro Forma Income Statement (\$M)																
Combined (Fiscal Year ending December 31st)																
Calendar Year:																
	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Revenue	\$12,269.0	\$14,228.7	\$15,687.2	\$16,947.9	\$2,835.0	\$2,926.0	\$3,173.0	\$3,335.0	\$3,181.0	\$3,496.0	\$3,750.0	\$3,801.7	\$3,614.8	\$3,828.3	\$4,094.4	\$4,149.7
COGS	\$5,298.4	\$5,949.0	\$6,387.8	\$6,583.0	1,244.0	1,274.0	1,363.0	1,417.4	1,366.0	1,468.0	1,556.3	1,558.7	1,500.2	1,569.6	1,658.2	1,659.9
Non-GAAP Gross Profit	\$6,966.0	\$8,279.8	\$9,299.3	\$10,364.9	\$1,591.0	\$1,652.0	\$1,810.0	\$1,913.0	\$1,815.0	\$2,028.0	\$2,193.8	\$2,243.0	\$2,114.7	\$2,258.7	\$2,436.1	\$2,489.8
Operating Expenses	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
R&D	2,009.0	2,208.3	2,509.9	2,711.7	475.0	505.0	515.0	514.0	518.0	550.0	566.3	574.1	578.4	612.5	655.1	664.0
SG&A	891.0	974.9	1,080.9	1,151.6	211.0	215.0	223.0	242.0	240.0	244.0	243.8	247.1	260.3	264.2	278.4	278.0
Other Expense (Income)	2.0	11.0	15.0	15.0	1.0	(3.0)	1.0	3.0	5.0	6.0	—	—	—	15.0	—	—
Total Operating Expenses	2,902.0	3,194.2	3,605.8	3,878.2	687.0	717.0	739.0	759.0	763.0	800.0	810.0	821.2	838.6	891.7	933.5	942.0
Non-GAAP Operating Income	\$4,064.0	\$5,085.6	\$5,693.5	\$6,486.7	\$904.0	\$935.0	\$1,071.0	\$1,154.0	\$1,052.0	\$1,228.0	\$1,383.8	\$1,421.8	\$1,276.0	\$1,367.0	\$1,502.6	\$1,547.8
Net Interest Expense	(355.0)	(347.0)	(340.0)	(340.0)	(80.0)	(85.0)	(91.0)	(99.0)	(90.0)	(87.0)	(85.0)	(85.0)	(85.0)	(85.0)	(85.0)	(85.0)
Other Non-Operating Inc. (Exp.)	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Non-GAAP Pre-Tax Income	\$3,709.0	\$4,738.6	\$5,353.5	\$6,146.7	\$824.0	\$850.0	\$980.0	\$1,055.0	\$962.0	\$1,141.0	\$1,298.8	\$1,336.8	\$1,191.0	\$1,282.0	\$1,417.6	\$1,462.8
Provision for Income Taxes (Benefit)	(654.0)	(852.4)	(963.6)	(1,106.4)	(143.0)	(148.0)	(173.0)	(190.0)	(173.0)	(205.0)	(233.8)	(240.6)	(214.4)	(230.8)	(255.2)	(263.3)
Non-GAAP Net Income	\$3,055.0	\$3,886.2	\$4,389.9	\$5,040.3	\$681.0	\$702.0	\$807.0	\$865.0	\$789.0	\$936.0	\$1,065.0	\$1,096.2	\$976.6	\$1,051.2	\$1,162.5	\$1,199.5
NI attributable to non-controlling interests	(51.0)	(73.0)	(140.0)	15.0	(8)	(12)	(17)	(14)	(15)	(18)	(20)	(20)	(35)	(35)	(35)	(35)
Non-GAAP Net Income/ (Loss) attributable to shareholders	3,004.0	3,813.2	4,249.9	5,055.3	\$673.0	\$690.0	\$790.0	\$851.0	\$774.0	\$918.0	\$1,045.0	\$1,076.2	\$941.6	\$1,016.2	\$1,127.5	\$1,164.5
GAAP Weighted Average Shares - Diluted	254.3	253.8	252.3	247.8	255.0	253.8	254.3	254.1	253.7	254.0	254.0	253.5	253.0	252.5	252.0	251.5
GAAP Diluted EPS (\$)	\$7.95	\$14.50	\$14.28	\$17.80	\$1.92	\$1.75	\$2.48	\$1.79	\$4.42	\$3.02	\$3.42	\$3.65	\$3.08	\$3.38	\$3.83	\$3.99
Non-GAAP Weighted Average Shares - Diluted	254.3	253.8	252.2	247.6	255.0	253.8	254.3	254.1	253.7	254.0	254.0	253.5	253.0	252.5	252.0	251.5
Non-GAAP Diluted EPS (\$)	\$11.81	\$15.02	\$16.85	\$20.41	\$2.64	\$2.72	\$3.11	\$3.35	\$3.05	\$3.61	\$4.11	\$4.25	\$3.72	\$4.02	\$4.47	\$4.63
Non-GAAP Diluted EPS incl SBC (\$)	\$10.00	\$13.21	\$14.63	\$18.15	\$2.14	\$2.26	\$2.64	\$2.96	\$2.62	\$3.20	\$3.66	\$3.73	\$3.17	\$3.47	\$3.92	\$4.07
Pro Forma Reconciliation																
Non-GAAP Gross Profit	\$6,966.0	\$8,279.8	\$9,299.3	\$10,364.9	\$1,591.0	\$1,652.0	\$1,810.0	\$1,913.0	\$1,815.0	\$2,028.0	\$2,193.8	\$2,243.0	\$2,114.7	\$2,258.7	\$2,436.1	\$2,489.8
Total Adjustments	(250.0)	(111.0)	(136.0)	(136.0)	(31.0)	(90.0)	(23.0)	(106.0)	(27.0)	(26.0)	(24.0)	(34.0)	(34.0)	(34.0)	(34.0)	(34.0)
GAAP Gross Profit	\$6,716.0	\$8,168.8	\$9,163.3	\$10,228.9	\$1,560.0	\$1,562.0	\$1,787.0	\$1,807.0	\$1,788.0	\$2,002.0	\$2,169.8	\$2,209.0	\$2,080.7	\$2,224.7	\$2,402.1	\$2,455.8
Non-GAAP Operating Expenses	\$2,902.0	\$3,194.2	\$3,605.8	\$3,878.2	\$687.0	\$717.0	\$739.0	\$759.0	\$763.0	\$800.0	\$810.0	\$821.0	\$839.0	\$892.0	\$934.0	\$942.0
Total Adjustments	(770.0)	73.0	(532.0)	(532.0)	(153.0)	(158.0)	(155.0)	(304.0)	480.0	(131.0)	(153.0)	(123.0)	(133.0)	(133.0)	(133.0)	(133.0)
GAAP Operating Expenses	\$3,672.0	\$3,121.2	\$4,137.8	\$4,410.2	\$840.0	\$875.0	\$894.0	\$1,063.0	\$283.0	\$931.0	\$963.0	\$944.0	\$972.0	\$1,025.0	\$1,067.0	\$1,075.0
Non-GAAP Operating Income	\$4,064.0	\$5,085.6	\$5,693.5	\$6,486.7	\$904.0	\$935.0	\$1,071.0	\$1,154.0	\$1,052.0	\$1,228.0	\$1,384.0	\$1,422.0	\$1,276.0	\$1,367.0	\$1,503.0	\$1,548.0
Total Adjustments	(1,017.0)	(33.0)	(648.0)	(648.0)	(181.0)	(248.0)	(178.0)	(410.0)	453.0	(157.0)	(177.0)	(152.0)	(162.0)	(162.0)	(162.0)	(162.0)
GAAP Operating Income	\$3,047.0	\$5,053.0	\$5,046.0	\$5,839.0	\$723.0	\$687.0	\$893.0	\$744.0	\$1,505.0	\$1,071.0	\$1,206.8	\$1,269.8	\$1,114.0	\$1,205.0	\$1,340.6	\$1,385.8
Cash Tax Provision	(\$654.0)	(\$852.4)	(\$963.6)	(\$1,106.4)	(\$143.0)	(\$148.0)	(\$173.0)	(\$190.0)	(\$173.0)	(\$205.0)	(\$233.8)	(\$240.6)	(\$214.4)	(\$230.8)	(\$255.2)	(\$263.3)
Total Adjustments	(129.0)	83.0	—	—	(\$13.0)	(\$32.0)	(\$25.0)	(\$59.0)	\$99.0	(\$16.0)	—	—	—	—	—	—
GAAP Tax (expense)	(\$525.0)	(\$935.0)	(\$964.0)	(\$1,106.0)	(\$130.0)	(\$116.0)	(\$148.0)	(\$131.0)	(\$272.0)	(\$189.0)	(\$233.8)	(\$240.6)	(\$214.4)	(\$230.8)	(\$255.2)	(\$263.3)
Non-GAAP Net Income to attrib. shareholders	3,004.0	3,813.2	4,249.9	5,055.3	\$673.0	\$690.0	\$790.0	\$851.0	\$774.0	\$918.0	\$1,045.0	\$1,076.0	\$942.0	\$1,016.0	\$1,127.0	\$1,165.0
Total Adjustments	(983.0)	(132.0)	(648.0)	(648.0)	(183.0)	(245.0)	(159.0)	(396.0)	348.0	(151.0)	(177.0)	(152.0)	(162.0)	(162.0)	(162.0)	(162.0)
GAAP Net Income	\$2,021.0	\$3,681.2	\$3,601.9	\$4,407.3	\$490.0	\$445.0	\$631.0	\$455.0	\$1,122.0	\$767.0	\$868.0	\$924.2	\$779.6	\$854.2	\$965.5	\$1,002.5
Growth and Non-GAAP Margins																
	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
QoQ Revenue Growth					-8.9%	3.2%	8.4%	5.1%	-4.6%	9.9%	7.3%	1.4%	-4.9%	5.9%	7.0%	1.4%
YoY Revenue Growth	-2.7%	16.0%	10.2%	8.0%	-9.3%	-6.4%	-2.4%	7.2%	12.2%	19.5%	18.2%	14.0%	13.6%	9.5%	9.2%	9.2%
Non-GAAP Gross Margin	56.8%	58.2%	59.3%	61.2%	56.1%	56.5%	57.0%	57.5%	57.1%	58.0%	58.5%	59.0%	58.5%	59.0%	59.5%	60.0%
Opex as % of Sales	23.7%	22.4%	23.0%	22.9%	24.2%	24.5%	23.3%	22.9%	24.0%	22.9%	21.6%	21.6%	23.2%	22.9%	22.8%	22.7%
Non-GAAP Operating Margin	33.1%	35.7%	36.3%	38.3%	31.9%	32.0%	33.8%	34.6%	33.1%	35.1%	36.9%	37.4%	35.3%	35.7%	36.7%	37.3%
Cash Tax Rate	-17.6%	-18.0%	-18.0%	-18.0%	-17.4%	-17.4%	-17.7%	-18.0%	-18.0%	-18.0%	-18.0%	-18.0%	-18.0%	-18.0%	-18.0%	-18.0%
Non-GAAP Net Margin	24.5%	26.8%	27.1%	29.8%	23.7%	23.6%	24.9%	25.5%	24.3%	26.3%	27.9%	28.3%	26.0%	26.5%	27.5%	28.1%
GAAP Margins																
	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
GAAP Gross Margin	54.7%	57.4%	58.4%	60.4%	55.0%	53.4%	56.3%	54.2%	56.2%	57.3%	57.9%	58.1%	57.6%	58.1%	58.7%	59.2%
GAAP OpEx as % of Sales	29.9%	21.9%	26.4%	26.0%	29.6%	29.9%	28.2%	31.9%	8.9%	26.6%	25.7%	24.8%	26.9%	26.8%	26.0%	25.9%
GAAP Operating Margin	24.8%	35.5%	32.2%	34.5%	25.5%	23.5%	28.1%	22.3%	47.3%	30.6%	32.2%	33.4%	30.8%	31.5%	32.7%	33.4%
GAAP Net Margin	16.5%	25.9%	23.0%	26.0%	17.3%	15.2%	19.9%	13.6%	35.3%	21.9%	23.1%	24.3%	21.6%	22.3%	23.6%	24.2%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 18: Bernstein NXPI Balance Sheet

Balance Sheet (\$ MM)																
	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Cash & Short Term Investments	\$ 3,267.0	\$ 4,140.8	\$ 3,961.6	\$ 4,085.9	\$3,988.0	\$3,170.0	\$3,954.0	\$3,267.0	\$3,708.0	\$3,222.0	\$3,676.7	\$4,140.8	\$4,383.9	\$4,237.5	\$3,505.9	\$3,961.6
Accounts Receivable	1,055.0	1,330.6	1,452.4	1,549.6	1,060.0	1,071.0	1,095.0	1,055.0	1,186.0	1,274.0	1,312.5	1,330.6	1,265.2	1,339.9	1,433.0	1,452.4
Other Receivables	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Assets Held for Sale	372.0	—	—	—	—	294.0	292.0	372.0	91.0	92.0	—	—	—	—	—	—
Current Assets of Disc Ops	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Inventories	2,577.0	2,571.8	2,738.8	2,691.8	2,350.0	2,361.0	2,452.0	2,577.0	2,523.0	2,557.0	2,645.7	2,571.8	2,625.3	2,589.8	2,736.1	2,738.8
Other Current Assets	669.0	539.0	539.0	539.0	627.0	790.0	716.0	669.0	644.0	539.0	539.0	539.0	539.0	539.0	539.0	539.0
Total Current Assets	\$7,940.0	\$8,582.2	\$8,691.9	\$8,866.3	\$8,025.0	\$7,686.0	\$8,509.0	\$7,940.0	\$8,152.0	\$7,684.0	\$8,173.8	\$8,582.2	\$8,813.4	\$8,706.2	\$8,214.0	\$8,691.9
Investments in equity-accounted investees	—	245.0	378.3	511.7	—	—	—	—	—	—	110.0	245.0	278.3	311.7	345.0	378.3
Other Long-Term Assets	3,797.0	4,587.0	4,587.0	4,587.0	3,226.0	3,215.0	3,499.0	3,797.0	4,275.0	4,437.0	4,512.0	4,587.0	4,587.0	4,587.0	4,587.0	4,587.0
PP&E	2,977.0	2,807.1	2,775.9	2,785.1	3,210.0	3,130.0	3,086.0	2,977.0	2,901.0	2,835.0	2,819.9	2,807.1	2,789.2	2,778.5	2,776.3	2,775.9
Identified Intangible assets	1,547.0	1,532.9	1,610.9	1,702.3	777.0	1,121.0	1,139.0	1,547.0	1,505.0	1,441.0	1,514.7	1,532.9	1,549.2	1,567.7	1,589.0	1,610.9
Goodwill	10,299.0	10,268.0	10,268.0	10,268.0	9,942.0	10,098.0	10,121.0	10,299.0	10,280.0	10,268.0	10,268.0	10,268.0	10,268.0	10,268.0	10,268.0	10,268.0
Non-current assets of discontinued operations	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Total Long-Term Assets	18,620.0	19,440.0	19,620.2	19,854.1	\$17,155.0	\$17,564.0	\$17,845.0	\$18,620.0	\$18,961.0	\$18,981.0	\$19,224.6	\$19,440.0	\$19,471.7	\$19,512.9	\$19,565.4	\$19,620.2
Total Assets	\$26,560.0	\$28,022.2	\$28,312.0	\$28,720.4	\$25,180.0	\$25,250.0	\$26,354.0	\$26,560.0	\$27,113.0	\$26,665.0	\$27,398.4	\$28,022.2	\$28,285.1	\$28,219.1	\$27,779.3	\$28,312.0
Accounts Payable	\$ 997.0	\$ 1,169.0	\$ 1,244.9	\$ 1,261.8	\$863.0	\$892.0	\$886.0	\$997.0	\$904.0	\$984.0	\$1,167.2	\$1,169.0	\$1,125.1	\$1,177.2	\$1,243.7	\$1,244.9
Liabilities held for sale	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Current liabilities of discontinued operations	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Restructuring Liabilities	189.0	111.0	111.0	111.0	\$75.0	\$65.0	\$49.0	\$189.0	\$133.0	\$111.0	\$111.0	\$111.0	\$111.0	\$111.0	\$111.0	\$111.0
Accrued Liabilities	1,445.0	1,672.0	1,672.0	1,672.0	1,412.0	1,471.0	1,384.0	1,445.0	1,851.0	1,672.0	1,672.0	1,672.0	1,672.0	1,672.0	1,672.0	1,672.0
Short-Term Debt	1,250.0	999.0	999.0	999.0	1,499.0	1,999.0	1,264.0	1,250.0	750.0	999.0	999.0	999.0	999.0	999.0	999.0	999.0
Total Current Liabilities	\$3,881.0	\$3,951.0	\$4,026.9	\$4,043.8	\$3,849.0	\$4,427.0	\$3,583.0	\$3,881.0	\$3,638.0	\$3,766.0	\$3,949.2	\$3,951.0	\$3,907.1	\$3,959.2	\$4,025.7	\$4,026.9
Long-Term Debt	10,972.0	9,977.0	8,477.0	8,477.0	10,226.0	9,479.0	10,971.0	10,972.0	10,974.0	9,977.0	9,977.0	9,977.0	9,977.0	9,477.0	8,477.0	8,477.0
Restructuring liabilities - non-current	81.0	65.0	65.0	65.0	\$4.0	\$60.0	\$60.0	\$81.0	\$76.0	\$65.0	\$65.0	\$65.0	\$65.0	\$65.0	\$65.0	\$65.0
Deferred tax liabilities	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Non-current liabilities of discontinued operations	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Other non-current liabilities	1,175.0	1,096.0	1,096.0	1,096.0	1,424.0	1,348.0	1,313.0	1,175.0	1,151.0	1,096.0	1,096.0	1,096.0	1,096.0	1,096.0	1,096.0	1,096.0
Total Liabilities	\$16,109.0	\$15,089.0	\$13,664.9	\$13,681.8	\$15,503.0	\$15,314.0	\$15,927.0	\$16,109.0	\$15,839.0	\$14,904.0	\$15,087.2	\$15,089.0	\$15,045.1	\$14,597.2	\$13,663.7	\$13,664.9
Non-controlling interests	395.0	362.0	362.0	362.0	355.0	367.0	382.0	395.0	347.0	362.0	362.0	362.0	362.0	362.0	362.0	362.0
Stockholder's equity	10,056.0	12,571.2	14,285.1	14,676.6	9,322.0	9,569.0	10,045.0	10,056.0	10,927.0	11,399.0	11,949.2	12,571.2	12,878.0	13,259.9	13,753.7	14,285.1
Shareholders' Equity	\$10,451.0	\$12,933.2	\$14,647.1	\$15,038.6	\$9,677.0	\$9,936.0	\$10,427.0	\$10,451.0	\$11,274.0	\$11,761.0	\$12,311.2	\$12,933.2	\$13,240.0	\$13,621.9	\$14,115.7	\$14,647.1
Total Liabilities & Shareholders' Equity	\$ 26,560.0	\$ 28,022.2	\$ 28,312.0	\$ 28,720.4	\$25,180.0	\$25,250.0	\$26,354.0	\$26,560.0	\$27,113.0	\$26,665.0	\$27,398.4	\$28,022.2	\$28,285.1	\$28,219.1	\$27,779.3	\$28,312.0

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 19: Bernstein NXPI Cash Flow Statement

Cash Flow Statement (\$ MM)

	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Operating Activities																
Net income	2,068.0	3,747.2	3,741.9	4,392.3	\$497.0	\$457.0	\$646.0	\$468.0	\$1,133.0	\$782.0	\$888.0	\$944.2	\$814.6	\$889.2	\$1,000.5	\$1,037.5
(Income) loss from discontinued operations, net of tax	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Depreciation	560.0	477.5	501.8	499.2	143.0	143.0	132.0	142.0	109.0	114.0	127.6	126.9	126.3	125.5	125.0	124.9
Amortization (Internal SW and of Intangibles)	272.0	198.0	88.0	88.0	66.0	64.0	69.0	73.0	70.0	70.0	36.0	22.0	22.0	22.0	22.0	22.0
Stock-based compensation	462.0	459.0	560.0	560.0	127.0	117.0	118.0	100.0	109.0	105.0	115.0	130.0	140.0	140.0	140.0	140.0
Change in fair value of Warrant Liability	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Amortization of discount on convertible debt	2.0	1.0	—	—	—	—	1.0	1.0	1.0	—	—	—	—	—	—	—
Amortization of debt issuance costs	7.0	4.0	—	—	1.0	2.0	2.0	2.0	2.0	2.0	—	—	—	—	—	—
Net (gain) loss on sale of assets	(29.0)	(627.0)	—	—	(22.0)	(6.0)	(1.0)	—	(627.0)	—	—	—	—	—	—	—
Other Items	(5.0)	(41.0)	—	—	(20.0)	—	(9.0)	24.0	(29.0)	(12.0)	—	—	—	—	—	—
Results relating to equity accounted investees	70.0	7.0	—	—	4.0	28.0	1.0	37.0	4.0	3.0	—	—	—	—	—	—
Income statement adjustments	\$3,407.0	\$4,225.7	\$4,891.7	\$5,539.5	\$796.0	\$805.0	\$959.0	\$847.0	\$772.0	\$1,064.0	\$1,166.6	\$1,223.1	\$1,103.0	\$1,176.8	\$1,287.5	\$1,324.5
Changes in Operating assets/Liabilities																
(Increase) decrease in trade receivables	(43.0)	(157.6)	(121.8)	(97.2)	(29.0)	(106.0)	54.0	38.0	(115.0)	14.0	(38.5)	(18.1)	65.4	(74.7)	(93.1)	(19.4)
(Increase) decrease in inventories	(308.0)	38.2	(167.0)	47.0	6.0	(90.0)	(96.0)	(128.0)	87.0	(34.0)	(88.7)	73.8	(53.4)	35.5	(146.2)	(2.7)
Increase (decrease) in trade payables	(50.0)	280.0	75.9	16.9	(110.0)	33.0	(219.0)	246.0	231.0	(136.0)	183.2	1.8	(43.9)	52.1	66.5	1.2
(Increase) decrease in other receivables	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Increase (decrease) in other payables	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Changes in Other current assets	(212.0)	(380.0)	—	—	(106.0)	131.0	(123.0)	(114.0)	(182.0)	(48.0)	(75.0)	(75.0)	—	—	—	—
Balance sheet adjustments	(613.0)	(219.4)	(212.9)	(33.3)	(239.0)	(32.0)	(384.0)	42.0	21.0	(204.0)	(19.0)	(17.4)	(31.9)	12.8	(172.9)	(20.9)
Exchange Differences	24.0	7.0	—	—	4.0	9.0	8.0	3.0	4.0	3.0	—	—	—	—	—	—
Other Items	2.0	(7.0)	—	—	4.0	(3.0)	2.0	(1.0)	(4.0)	(3.0)	—	—	—	—	—	—
Cash flow from operating activities	\$2,820.0	\$4,006.2	\$4,678.8	\$5,506.2	\$565.0	\$779.0	\$585.0	\$891.0	\$793.0	\$860.0	\$1,147.6	\$1,205.6	\$1,071.0	\$1,189.6	\$1,114.6	\$1,303.6
Investing Activities																
Purchase of identified intangible assets	(140.0)	(158.9)	(166.0)	(179.4)	(25.0)	(37.0)	(23.0)	(55.0)	(42.0)	(37.0)	(39.7)	(40.2)	(38.3)	(40.5)	(43.3)	(43.9)
Capital Expenditure	(397.0)	(374.6)	(470.6)	(508.4)	(139.0)	(83.0)	(77.0)	(98.0)	(79.0)	(69.0)	(112.5)	(114.1)	(108.4)	(114.8)	(122.8)	(124.5)
Sale of Property, Plant, and Equipment	2.0	—	—	—	1.0	—	1.0	—	—	—	—	—	—	—	—	—
Purchase/Sale of Investments/Businesses	(1,994.0)	970.0	—	—	(53.0)	(772.0)	(684.0)	(485.0)	878.0	—	92.0	—	—	—	—	—
Other Investing Activities	172.0	(450.0)	—	—	—	—	—	172.0	(249.0)	(131.0)	(70.0)	—	—	—	—	—
Cash flow from investing activities	(\$2,357.0)	(\$13.5)	(\$636.6)	(\$687.8)	(\$216.0)	(\$892.0)	(\$783.0)	(\$466.0)	\$508.0	(\$237.0)	(\$130.2)	(\$154.3)	(\$146.7)	(\$155.4)	(\$166.2)	(\$168.4)
Financing Activities																
Net (repayments) borrowings of short-term debt	—	—	—	—	500.0	250.0	(735.0)	(15.0)	—	—	—	—	—	—	—	—
Amounts drawn under the revolving credit facility	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Repayments under the revolving credit facility	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Repurchase of long-term debt	(500.0)	(1,251.0)	(1,500.0)	—	—	(500.0)	—	—	(501.0)	(750.0)	—	—	—	(500.0)	(1,000.0)	—
Principal payments on long-term debt	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Net proceeds from the issuance of long-term debt	1,868.0	—	—	—	370.0	—	1,498.0	—	—	—	—	—	—	—	—	—
Proceeds from sale of warrants	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Cash paid for Notes hedge derivatives	(20.0)	(4.0)	—	—	—	—	(9.0)	(11.0)	(4.0)	—	—	—	—	—	—	—
Dividends paid to non-controlling interests	—	(29.0)	—	—	—	—	—	—	(29.0)	—	—	—	—	—	—	—
Dividends paid	(1,025.0)	(1,017.0)	(1,188.0)	(1,360.8)	(258.0)	(257.0)	(256.0)	(254.0)	(256.0)	(256.0)	(252.7)	(252.2)	(297.9)	(297.3)	(296.7)	(296.1)
Purchase of non-controlling interest shares	—	(245.0)	(133.3)	(133.3)	—	—	—	—	—	—	(110.0)	(135.0)	(33.3)	(33.3)	(33.3)	(33.3)
Net proceeds from the issuance of common stock / Other	83.0	37.0	—	—	37.0	2.0	38.0	6.0	36.0	1.0	—	—	—	—	—	—
Cash proceeds from exercise of stock options	(1.0)	—	—	—	(1.0)	—	—	—	—	—	—	—	—	—	—	—
Deemed dividend on buybacks	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Purchase of treasury shares	(899.0)	(606.0)	(1,400.0)	(3,200.0)	(303.0)	(204.0)	(54.0)	(338.0)	(102.0)	(104.0)	(200.0)	(200.0)	(350.0)	(350.0)	(350.0)	(350.0)
Cash flow from financing activities	(\$494.0)	(\$3,115.0)	(\$4,221.3)	(\$4,694.1)	\$345.0	(\$709.0)	\$482.0	(\$612.0)	(\$856.0)	(\$1,109.0)	(\$562.7)	(\$587.2)	(\$681.2)	(\$1,180.6)	(\$1,680.0)	(\$679.4)
Net Cash from Continuing Operations	(31.0)	\$877.8	(\$179.2)	\$124.2	\$694.0	(\$822.0)	\$284.0	(\$187.0)	\$445.0	(\$486.0)	\$454.7	\$464.1	\$243.1	(\$146.4)	(\$731.6)	\$455.8
Net Cash from Discontinued Operations	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Effect of changes in exchange rate on cash positions	6.0	(4.0)	—	—	\$2.0	\$4.0	—	—	(\$4.0)	—	—	—	—	—	—	—
Net Change in Cash and Cash equivalents	(25.0)	873.8	(179.2)	124.2	\$696.0	(\$818.0)	\$284.0	(\$187.0)	\$441.0	(\$486.0)	\$454.7	\$464.1	\$243.1	(\$146.4)	(\$731.6)	\$455.8
Cash at Beginning of Period	3,292.0	3,267.0	4,140.8	3,961.6	\$3,292.0	\$3,988.0	\$3,170.0	\$3,454.0	\$3,267.0	\$3,708.0	\$3,222.0	\$3,676.7	\$4,140.8	\$4,383.9	\$4,237.5	\$3,505.9
Cash at End of Period	\$3,267.0	\$4,140.8	\$3,961.6	\$4,085.9	\$3,988.0	\$3,170.0	\$3,954.0	\$3,267.0	\$3,708.0	\$3,222.0	\$3,676.7	\$4,140.8	\$4,383.9	\$4,237.5	\$3,505.9	\$3,961.6
Less (cash from discontinued ops)	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Cash at End of Period - Continuing Ops	\$3,267.0	\$4,140.8	\$3,961.6	\$4,085.9	\$3,988.0	\$3,170.0	\$3,954.0	\$3,267.0	\$3,708.0	\$3,222.0	\$3,676.7	\$4,140.8	\$4,383.9	\$4,237.5	\$3,505.9	\$3,961.6
Free Cash Flow (OCF - Capex)	2,425.0	3,631.7	4,208.2	4,997.7	\$427.0	\$696.0	\$509.0	\$793.0	\$714.0	\$791.0	\$1,035.1	\$1,091.6	\$962.6	\$1,074.7	\$991.8	\$1,179.1
FCF / Share	\$9.54	\$14.31	\$16.68	\$20.18	\$1.01	\$1.01	\$1.01	\$1.00	\$1.01	\$1.01	\$0.99	\$0.99	\$1.18	\$1.18	\$1.18	\$1.18
Dividend / Share	\$4.03	\$4.01	\$4.71	\$5.49	\$1.01	\$1.01	\$1.01	\$1.00	\$1.01	\$1.01	\$0.99	\$0.99	\$1.18	\$1.18	\$1.18	\$1.18

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 20: Bernstein NXPI Revenue Model

NXP: Segment Breakdown (\$MM)												
NXPI Pro-Forma Revenue (New Segmentation)												
	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Automotive	\$1,674	\$1,729	\$1,837	\$1,876	\$1,782	\$1,938	\$2,054	\$2,116	\$2,069	\$2,173	\$2,271	\$2,362
Industrial & IoT	\$508	\$546	\$579	\$640	\$628	\$755	\$800	\$789	\$734	\$840	\$904	\$852
Mobile	\$338	\$331	\$430	\$485	\$391	\$351	\$404	\$404	\$323	\$323	\$420	\$420
Communications Infrastructure & Other	\$315	\$320	\$327	\$334	\$380	\$452	\$492	\$493	\$488	\$493	\$500	\$516
Standard Products	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Manufacturing Service Agreements (zerored out as of Q119)	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Total Revenue	\$2,835	\$2,926	\$3,173	\$3,335	\$3,181	\$3,496	\$3,750	\$3,802	\$3,615	\$3,828	\$4,094	\$4,150

NXPI Pro-Forma Revenue (New Segmentation) QoQ Growth												
Automotive	(6.5%)	3.3%	6.2%	2.1%	(5.0%)	8.8%	6.0%	3.0%	(2.2%)	5.0%	4.5%	4.0%
Industrial & IoT	(1.6%)	7.5%	6.0%	10.5%	(1.9%)	20.2%	6.0%	(1.4%)	(6.9%)	14.3%	7.6%	(5.7%)
Mobile	(14.6%)	(2.1%)	29.9%	12.8%	(19.4%)	(10.2%)	15.0%	-	(20.0%)	-	30.0%	-
Communications Infrastructure & Other	(23.0%)	1.6%	2.2%	2.1%	13.8%	18.9%	8.8%	0.3%	(1.0%)	1.0%	1.5%	3.1%
Standard Products												
Manufacturing Service Agreements (zerored out as of Q119)												
Total Revenue	(8.9%)	3.2%	8.4%	5.1%	(4.6%)	9.9%	7.3%	1.4%	(4.9%)	5.9%	7.0%	1.4%

Source: Company reports, Bernstein estimates and analysis

CY25	CY26E	CY27E	CY28E
\$7,116	\$7,890	\$8,875	\$9,813
\$2,273	\$2,972	\$3,330	\$3,643
\$1,584	\$1,549	\$1,485	\$1,545
\$1,296	\$1,817	\$1,997	\$1,946
\$0	\$0	\$0	\$0
\$0	\$0	\$0	\$0
\$12,269	\$14,229	\$15,687	\$16,948

CY25	CY26E	CY27E	CY28E
(0.5%)	10.9%	12.5%	10.6%
0.2%	30.8%	12.0%	9.4%
5.8%	(2.2%)	(4.1%)	4.0%
(23.6%)	40.2%	9.9%	(2.5%)
(2.7%)	16.0%	10.2%	8.0%

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	28 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NXPI (NXP Semiconductors)	M	USD	259.12	290.00	(2.9)%	USD	11.81	15.02	16.85	21.9	17.2	15.4
OLD				270.00				14.58	16.45			
SPX			7,428.78									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**NXP Semiconductors NV**

For NXPI, we apply a ~16x multiple to average of our FY27/FY28 pro-forma EPS estimate (~\$18.63), yielding a price target of \$290.

RISKS**NXP Semiconductors NV**

Downside risks to our price target on NXPI include macro degradation, inventory flush, socket losses at key customers (mobile or otherwise), and/or failure to execute on long-term growth and margin targets. Upside risks include continued strong demand, share gains, or margin upside.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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The Autonomous brand has three categories of credit ratings:

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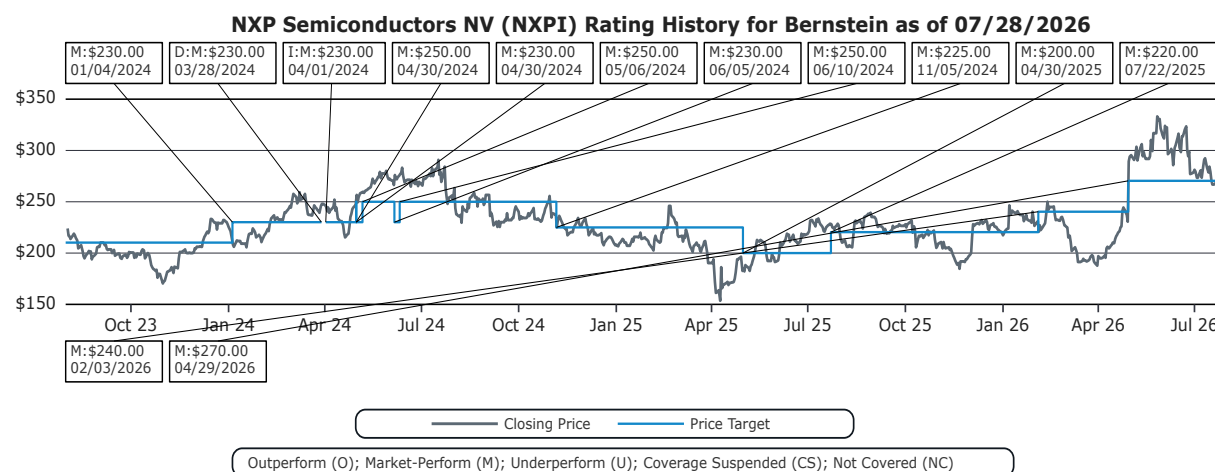
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: NXP Semiconductors NV.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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Stacy A. Rasgon maintains long positions in various crypto currencies.

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